Tata Consultancy Services (TCS) Equity Research and Valuation Report

Investment Summary

Company Snapshot: Global IT services leader with diversified clients, strong delivery model, and high revenue visibility.

Investment Highlights

- Strong revenue growth and profitability
- Industry-leading margins (~29.5%)
- ROE 63.55%, ROCE 75.77%
- Strong cash flows and low leverage

Metric	Value
Current Market Price	2,434
Target Price (DCF)	2,267
Upside / Downside	-7%
Recommendation	HOLD

Valuation Summary DCF indicates modest overvaluation; comps imply higher values but given lower weight.

Key Catalysts:

- IT spending recovery
- Digital/AI growth
- Margin stability Key Risks
- IT spending slowdown
- Wage inflation
- Currency volatility
- Premium valuation risk Investment View High-quality compounder but limited upside at current valuation; Hold recommended.

Methodology	Implied Value (₹/share)	Comment
DCF Valuation	2,267	Primary method (intrinsic value)
EV/Revenue	3,145	Indicates premium sector valuation
EV/EBITDA	3,973	Driven by strong profitability
EV/EBIT	4,883	Reflects high operating margins
P/E Multiple	4,123	Influenced by return ratios
P/Sales	2,552	More conservative estimate
EV/FCF	2,924	Reflects strong cash generation

1. Business Overview

Tata Consultancy Services is a leading global provider of IT services, consulting, and business solutions, and a flagship company of the Tata Group. The company delivers a comprehensive suite of services including application development and maintenance, digital transformation, cloud computing, analytics, and business process outsourcing.

TCS operates a global delivery model, combining offshore and onshore resources to optimize costs, enhance scalability, and maintain high operating efficiency. This model has been a key driver of its industry-leading margins and consistent execution performance.

The company serves a diversified client base across major industries such as banking and financial services, retail, manufacturing, healthcare, and telecommunications. A significant proportion of revenues is derived from long-term client relationships and repeat business, which supports strong revenue visibility and reduces earnings volatility.

Geographically, TCS derives a substantial share of its revenues from developed markets, particularly North America and Europe. While this provides access to large enterprise clients and stable demand, it also exposes the company to macroeconomic cycles and fluctuations in global IT spending.

TCS has demonstrated consistent financial performance, with steady revenue growth, stable margins, and strong cash flow generation. Its operational strength is further reflected in high return ratios and efficient capital allocation, supported by a conservative balance sheet with minimal leverage.

Overall, TCS is positioned as a high-quality, large-cap IT services franchise, characterized by scale advantages, strong client relationships, and operational resilience, enabling it to sustain profitability and compete effectively within the global IT services industry.

2. Industry Overview & Outlook

The global IT services industry is driven by enterprise technology spending, which is cyclical in the short term and closely linked to macroeconomic conditions, particularly in developed markets such as North America and Europe. In recent periods, growth has moderated due to cautious client spending, delays in discretionary projects, and a shift toward cost optimization initiatives.

Despite near-term softness, the industry continues to benefit from structural long-term growth drivers, including digital transformation, cloud migration, data analytics, and increasing adoption of artificial intelligence. Enterprises are progressively modernizing legacy systems and investing in automation to improve efficiency, supporting sustained demand for IT services over the long term.

Industry growth is generally expected to remain in the mid-single-digit range (~6–8%), which aligns with the assumptions used in the forecast model. However, growth visibility remains dependent on recovery in enterprise technology budgets and broader economic conditions.

The industry operates on a global delivery model, allowing companies to leverage offshore talent to maintain cost competitiveness and margins. However, this model is also exposed to key challenges, including wage inflation, talent retention, and pricing pressure, particularly in commoditized service segments.

Competition remains intense, with large global players competing on scale and execution, while mid-tier firms offer cost advantages, leading to ongoing pressure on billing rates. Additionally, a significant portion of revenues is denominated in foreign currencies, exposing companies to currency volatility and earnings variability.

Overall, while the IT services sector offers strong long-term growth potential driven by digital and technology adoption, near-term performance remains constrained by macroeconomic uncertainty and client spending cycles. This supports a moderate growth outlook with stable but not accelerating expansion, consistent with the assumptions used in the valuation framework.

3. Financial Analysis and Ratio

From FY2020 to FY2025, revenue increased from ₹156,949 Cr to ₹255,324 Cr, operating profit increased from ₹42,109 Cr to ₹67,407 Cr, and net profit increased from ₹32,447 Cr to ₹48,797 Cr.
Margins remained strong through the period. OPM was 27.00% in FY2020, 28.00% in FY2021, 28.00% in FY2022, 26.00% in FY2023, 27.00% in FY2024 and 26.00% in FY2025. EPS increased from ₹86.19 in FY2020 to ₹134.20 in FY2025.

Metric	FY2020	FY2023	FY2024	FY2025
Revenue (₹ Cr)	156,949	225,458	240,893	255,324
Operating Profit (₹ Cr)	42,109	59,259	64,296	67,407
Net Profit (₹ Cr)	32,447	42,303	46,099	48,797
EPS (₹)	86.19	115.19	126.88	134.20

Ratio Analysis

The ratio analysis confirms a high-quality operating profile. FY2025 PBDIT margin is 31.44%, PBIT margin is 29.48%, PBT margin is 29.15% and net profit margin is 22.36%. Return metrics are equally strong: FY2025 ROE is 63.55%, ROCE is 75.77% and ROA is 36.19%.
Liquidity remains comfortable, with FY2025 current ratio and quick ratio both at 2.10x. Leverage is negligible, with total debt/equity at 0.00x across the period shown. Market valuation remains premium, with FY2025 EV/EBITDA at 19.20x, Price/BV at 17.26x and P/E at 18.32x.

TCS ratio	FY2025	FY2024	FY2023	FY2022	FY2021
Basic EPS	132.83	119.44	106.88	103.24	82.78
Net Profit Margin (%)	22.36	21.52	20.54	23.81	22.77
ROE (%)	63.55	60.39	52.46	49.48	41.39
ROCE (%)	75.77	75.85	65.07	60.23	52.75
Current Ratio (x)	2.10	2.20	2.36	2.49	2.92
Price/BV (x)	17.26	19.49	15.74	17.73	15.72

4. Peer Comparison

TCS is the largest company in the peer set on every core scale metric shown market capitalization of ₹872,248 Cr, enterprise value of ₹1,297,658.90 Cr, revenue of ₹255,324 Cr, EBIT of ₹64,535 Cr, EBITDA of ₹67,407 Cr and net profit of ₹48,797 Cr.
Profitability leadership is also clear. TCS posts gross margin of 31.44%, operating margin of 29.48%, net profit margin of 22.36%, ROE of 63.55%, ROCE of 75.77% and ROA of 36.19%. These are the strongest return metrics in the peer table.
On efficiency, TCS records debtor days of 84, payable days of 30, net working capital days of 54 and asset turnover of 1.71x. This places TCS close to Infosys and LTI Mindtree on working-capital intensity, better than HCL Tech on net working capital days, but less efficient than Wipro and Tech Mahindra on that specific metric.

Metric	TCS	Infosys	Wipro	Tech Mahindra	HCL Tech	LTI Mindtree
P / E	18.32x	20.57x	18.92x	40.05x	29.79x	27.73x
EV / EBIT	20.11x	16.77x	14.58x	22.99x	17.75x	20.92x
EV / EBITDA	19.25x	16.76x	17.40x	20.11x	15.10x	18.04x
EV / Sales	5.08x	3.91x	11.73x	2.59x	3.45x	3.42x
Operating Margin	29.48%	26.10%	22.90%	10.61%	19.46%	16.35%
Net Profit Margin	22.36%	18.71%	16.03%	7.85%	14.55%	12.10%
ROE	63.55%	29.27%	17.15%	15.63%	24.96%	20.26%
ROCE	75.77%	38.27%	22.15%	18.44%	30.84%	26.32%
Net Working Capital Days	54	55	46	37.5	71.46	56

Tata Consultancy Services demonstrates **clear leadership within its peer group**, with the largest scale across revenue and profitability metrics, as well as industry-leading margins and return ratios. The company's superior operating margin, net profit margin, and return metrics (ROE and ROCE) reflect strong execution capability, pricing power, and efficient capital utilization.

While TCS trades at a premium relative to several peers, this premium is supported by its consistent performance, stronger profitability profile, and lower business risk. However, the current valuation suggests that much of this premium is already priced in, limiting the scope for significant upside based on relative positioning alone.

5. Forecast and FCFF Model

The forecast assumes revenue growth of 6.50% in FY2026E, 7.00% in FY2027E, 7.50% in FY2028E, and 8.00% in both FY2029E and FY2030E. COS is held at 62.28% of revenue, operating expenses at 10.33% of revenue and tax at 30.00% of EBIT through the explicit forecast period.

The revenue growth assumptions are derived from:

- Industry growth expectations (6.5% baseline)
- Gradual recovery in IT spending
- Increasing contribution from digital, cloud, and AI services
- Historical growth trends, including 5-year CAGR of NIFTY IT and Tata Consultancy Services

The step-up pattern reflects realistic improvement rather than aggressive projections.

Under these assumptions, revenue rises from ₹255,324 Cr in FY2025 to ₹364,821.98 Cr in FY2030E. FCFF rises from ₹40,952.46 Cr in FY2025 to ₹64,298.16 Cr in FY2030E, with FY2026E FCFF at ₹47,602.60 Cr.

FCFF item	FY2025	FY2026E	FY2027E	FY2028E	FY2030E
Revenue (₹ Cr)	255,324.00	271,920.06	290,954.46	312,776.05	364,821.98
EBIT (₹ Cr)	59,991.46	71,380.82	76,880.36	83,116.86	97,821.59
Capex (₹ Cr)	3,937.00	2,142.04	1,944.14	1,764.52	1,453.54
Change in NWC (₹ Cr)	3,434.00	3,318.72	2,052.88	4,022.48	4,824.82
FCFF (₹ Cr)	40,952.46	47,602.60	52,629.91	54,945.80	64,298.16

The supporting schedules are internally consistent. In the fixed-assets schedule, D&A declines from ₹3,096.78 Cr in FY2026E to ₹2,101.41 Cr in FY2030E, while capex declines from ₹2,142.04 Cr to ₹1,453.54 Cr. In the working-capital schedule, forecast net working capital rises from ₹47,455.72 Cr in FY2026E to ₹63,099.81 Cr in FY2030E.

6. DCF Valuation

The DCF uses a WACC of 8.10% and a terminal growth rate of 3.00%. The WACC is built from a cost of equity of 8.32%, after-tax cost of debt of 5.93%, equity weight of 90.98%, debt weight of 9.02%, risk free rate of 6.90%, market risk premium of 7.08% and beta of 0.20.
The present value of explicit forecast FCFF is ₹219,412.49 Cr and the present value of terminal value is ₹595,763.29 Cr. This results in enterprise value of ₹815,175.78 Cr, equity value of ₹820,231.78 Cr and an implied share price of ₹2,267.09.

Parameter	Value	Rationale
Risk-Free Rate	6.90%	Based on 10-Yr Gov Bond Yield
Equity Risk Premium	7.08%	Market expectations over risk-free rate
Beta	0.20	Low sensitivity to market volatility
Cost of Equity	8.32%	CAPM derived
Tax Rate	30.0%	Standard corporate tax assumption
WACC	8.10%	Weighted cost of debt (lease) and equity
Terminal Growth Rate	3.0%	Perpetual growth rate of cash flows beyond your explicit forecast period

The **terminal growth rate of 3.0%** is conservative and broadly aligned with long-term nominal GDP growth expectations. This assumption reflects the mature nature of the IT services industry and avoids overstating long-term growth potential, ensuring that the terminal value does not disproportionately inflate the valuation.

The **beta of 0.20** reflects TCS's low volatility relative to the broader market, supported by its stable revenue base, long-term client relationships, high share of recurring business, and strong balance sheet. As a large-cap, market-leading company with predictable cash flows, TCS exhibits lower sensitivity to market fluctuations compared to smaller or more cyclical firms.

Sensitivity Table						
		Growth Rate				
	2,267.09	2.00%	2.50%	3.00%	3.50%	4.00%
WACC	7.10%	2,427.04	2,631.23	2,885.21	3,209.72	3,638.87
	7.60%	2,184.47	2,345.32	2,541.13	2,784.68	3,095.87
	8.10%	1,983.82	2,112.81	2,267.09	2,454.89	2,688.49
	8.60%	1,815.43	1,920.43	2,044.17	2,192.17	2,372.33
	9.10%	1,672.37	1,758.93	1,859.67	1,978.40	2,120.41

The DCF valuation is highly sensitive to changes in WACC and terminal growth assumptions, with implied values ranging from approximately **₹1,672 to ₹3,638 per share** across the sensitivity range.

This highlights that while the base-case valuation of **₹2,267 per share** is derived using reasonable and conservative assumptions, the final valuation outcome is significantly influenced by discount rate and long-term growth inputs. As such, the base-case estimate should be interpreted with caution, as relatively small changes in assumptions can materially impact the intrinsic value.

7. Comparable Company Analysis

On current trading multiples, TCS is valued at 5.08x EV/Revenue, 19.25x EV/EBITDA, 20.11x EV/EBIT, 18.32x P/E, 3.42x P/Sales and 27.85x EV/FCF.
Applying peer-median multiples to the target metrics in the model yields implied values of ₹3,145.84 per share on EV/Revenue, ₹3,973.04 on EV/EBITDA, ₹4,883.40 on EV/EBIT, ₹4,123.25 on P/E, ₹2,551.98 on P/Sales and ₹2,924.47 on EV/FCF.

Method	Peer median	Target metric	Implied value/share	Signal
EV / Revenue	3.91x	290,954.46	3,145.84	Above market price
EV / EBITDA	18.04x	79,691.04	3,973.04	Above market price
EV / EBIT	22.99x	76,880.36	4,883.40	Above market price
P / E	27.73x	53,816.25	4,123.25	Above market price
P/ Sales	3.17x	290,954.46	2,551.98	Above market price
EV / FCF	20.11x	52,629.91	2,924.47	Above market price

The valuation derived from comparable company multiples shows a wide dispersion across different metrics. This variation is primarily due to differences in how each multiple captures value, as well as differences in profitability, growth expectations, and capital structure across peer companies.

Certain multiples, particularly earnings-based metrics such as P/E and EV/EBIT(also EBITDA), yield significantly higher implied valuations. This is likely influenced by:

- Premium sector-wide valuations
- Strong profitability and return ratios of TCS relative to peers
- Market expectations embedded in peer multiples

On the other hand, revenue-based and cash flow-based multiples provide relatively more conservative estimates.
Given the wide range of outcomes, the comparable company analysis is used as a supporting valuation framework rather than a primary determinant of intrinsic value.

8. Investment Thesis

Tata Consultancy Services remains a structurally strong compounder within the global IT services space, supported by its industry-leading margins, superior execution capability, and deep client relationships.
The company's consistent ability to generate high return ratios, strong free cash flows, and stable revenue growth reflects a resilient business model that performs well across cycles. Its scale advantage, diversified service offerings, and entrenched presence in large enterprise accounts position it favourably against peers.
From an operating standpoint, TCS demonstrates:

- **Superior margin profile** relative to peers, indicating pricing power and cost discipline
- **Strong cash conversion**, enabling sustained shareholder returns
- **Low balance sheet risk**, reinforcing financial stability

While growth may moderate in the near term due to macro uncertainties in global IT spending, TCS is well-positioned to benefit from long-term digital transformation demand, particularly in cloud, AI, and enterprise modernization.

Recommendation

Rating: HOLD

TCS remains a fundamentally strong, high-quality business, but the stock appears modestly overvalued based on intrinsic valuation.
Key considerations supporting the recommendation:

- Strong operational performance and industry-leading margins
- Superior return ratios and efficient cash generation
- Robust balance sheet with low financial risk
- Premium valuation already pricing in business quality

At the current market price, the absence of a meaningful margin of safety limits the attractiveness of initiating a fresh position.

9. Risks (Sector and Company Challenges)

Sector Challenges

- **Cyclical IT Spending:** Demand depends on global economic conditions; slowdowns lead to reduced discretionary tech spending.
- **Pricing Pressure:** High competition from global and mid-tier firms puts pressure on billing rates.
- **Wage Inflation:** Rising employee costs can compress margins in a talent-intensive industry.
- **Currency Volatility:** Earnings are sensitive to exchange rate fluctuations due to USD-linked revenues.
- **Rapid Technological Change:** Continuous investment needed in cloud, AI, and digital capabilities to stay competitive.

Company-Specific Challenges

- **Premium Valuation Risk:** Current price exceeds intrinsic value (DCF), limiting margin of safety.
- **Margin Sustainability:** Wage inflation and pricing pressure may impact industry-leading margins.
- **Growth Moderation:** Large scale may limit future growth relative to smaller peers.
- **Client Dependency:** Revenue concentration in large clients can impact performance if spending slows.
- **Geographic Exposure:** Dependence on US/Europe markets exposes the company to global economic risks.

Sources:

https://www.annualreports.com/HostedData/AnnualReportArchive/t/OTC_TCS_2022.pdf
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